Currency Management in 2021

At the end of December 2021, total notes in circulation were Rs 29.69 lakh crore or about 14.6 per cent of the pre-COVID projected GDP of Rs 203 lakh crore. As the GDP is expected to increase to about Rs 223 lakh crore in nominal terms in 2021–22 and currency might grow by another Rs 0.3 lakh crore by the end of March to be about Rs 30 lakh crore, the currency to GDP ratio for 2020–21 is likely to turn out to be about 13.5 per cent. This ratio is a full 3 per cent higher than the ratio of currency to GDP prevalent in 2016–17 before demonetization was ordered to reduce cash in the system.

Reserve money aggregates in India broadly follow currency aggregates. At the end of December 2021, total reserve money was Rs 37.44 lakh crore comprising Rs 29.96 lakh crore of currency in circulation (80.1 per cent), Rs 6.97 lakh crore of bankers' deposits with RBI (18.6 per cent) and the rest classified as 'other' deposits with RBI (Rs 0.5 lakh crore).

Credit Management and Regulation

Outstanding bank credit as on 26 March 2021 (financial year end) was Rs 109.51 lakh crore. It grew by 5.6 per cent year on year. In financial year 2019–20, compared to the outstanding credit at the beginning of the financial year, growth was a lowly 6.1 per cent. As on December 17, 2021, the outstanding bank credit rose to Rs 113.14 lakh crore, which in terms of credit growth year on year and credit growth during the financial year, 2021–22 was: 7.3 per cent vis-à-vis 6.0 per cent the previous year, and 3.3 per cent vis-à-vis 1.7 per cent the previous year.

RBI had unleashed liquidity ever since the pandemic struck and lockdown was imposed in March. The government had also offered guarantees and other supports under many schemes as part of the stimulus package. Through the National Credit Guarantee Trustee Company, the